

lose only the cost of the options. I thought the odds were much better than 50/50 that the bank would survive, so the stock was a buy. But in terms of risk/reward, the options were an even better buy. The stock did end up more than doubling before the options expired.

How long did you continue to trade the same general strategy as you did in the hedge fund after returning money to investors in 1995?

For about 10 years. Then we gradually transitioned to investing using a systematic value approach.

Why the change?

It wasn't a change in investment principles. I have always been a value investor. The Gotham Capital fund and Gotham Capital subsequent to returning outside capital held a concentrated portfolio of both straight value positions—that is, value positions without an obvious catalyst—and positions in special situations, which are more catalyst-driven trades. The transition to what we're doing now came about because I always wanted to test the principles I had been teaching and using to manage money. In 2003, Rob Goldstein and I hired a skilled computer programmer so that we could backtest some of the key measures we look at when we evaluate a company. The first metric we tested was based on Ben Graham's principle of buying cheap.

How did you define cheap?

There are a lot of ways of measuring cheapness. We used the *earnings yield*, which we defined as the ratio of *earnings before interest and taxes* (EBIT) to *enterprise value*.

In his book The Little Book That Beats the Market, Greenblatt provided the following explanation of earnings yield:

Earnings yield was measured by calculating the ratio of pre-tax operating earnings (EBIT) to enterprise value (market value of equity + net interest-bearing debt). This ratio was used rather than the more commonly used P/E ratio (price/earnings ratio) or E/P ratio (earnings/price ratio) for several reasons. The basic idea behind the concept of earnings yield is simply to figure out how much a business earns relative to the purchase price of the business.